

ambitious initiatives. “The Income Tax Department uses AI to monitor digital transactions in real time from UPI payments and credit card usage to e-wallet transfers, cross-referencing them with reported income to detect anomalies. AI-driven algorithms flag high-value or suspicious activities such as large donations, property deals or significant credit card expenditures,” he says.

For developing nations, India’s model, built on digitisation and AI-powered analytics, offers a compelling road map for smart and equitable tax governance, he says. Chaudhri of Deloitte says authorities around the world use a range of data matching methodologies and analytics to drive compliance and detect evasion. “For instance, the Australian Tax Office has a rich history of using sophisticated analytics to compare taxpayers’ data with other taxpayers in similar circumstances. That tends to place a lot more onus on taxpayers making highly accurate self-declaration and self-assessment of their taxable income,” he says.

The income tax department in India is set to further scale up the use of non-intrusive methods. This is especially crucial given the steep direct tax collection target of ₹25.2 lakh crore for FY26 despite the Budget giving sops of ₹1 lakh crore to individual taxpayers. The CBDT’s central action plan for 2025-26 has elaborated ways to further widen the tax net through measures such as close monitoring of advance-tax payers, checking bogus claims for exemptions and deductions and watching out for suspicious high-value cash transactions. Official sources say data analytics and mining techniques will be used to keep track of these transactions. The new Income Tax Bill has also introduced the concept of virtual digital spaces; tax authorities can gain access to these spaces during search and seizure operations.



“Linking of transactions with PAN and Aadhaar has significantly improved the accuracy of data”

TANU GUPTA
PARTNER, MAINSTAY
TAX ADVISORS



“The department’s dedicated analytics team utilises AI tools to swiftly detect inconsistencies”

AMIT MAHESHWARI
TAR PARTNER, AKM
GLOBAL

| 61

But while these measures have simplified tax administration, one of the key concerns is data privacy as well as the cost of compliance for measures such as TCS.

The government’s decision to introduce a 20% TCS on international credit card spends under the Liberalised Remittance Scheme has also triggered a lot of heartache. Similarly, questions have also arisen over the TCS on luxury items over ₹10 lakh with many noting that such products are hardly ever purchased through cash and so have an electronic trail.

In fact, the Internet Freedom Foundation had written to the chairperson and other members of the Select Committee of the Lok Sabha that is examining the Income Tax Bill, 2025, seeking a review of the provisions around virtual digital spaces and putting in place safeguards.

Maheshwari of AKM Global says while these advancements by the income tax department promote compliance, they also raise concerns about privacy. “Measures such as social media profiling, accessing WhatsApp chats, and examining mobile phone data may be perceived as intrusive, potentially affecting individual privacy,” he says, underlining that a balance between tax enforcement and protection of privacy remains a critical challenge overall. For now, the jury’s still out on how to achieve a fine balance! **BT**

@surabhi_prasad